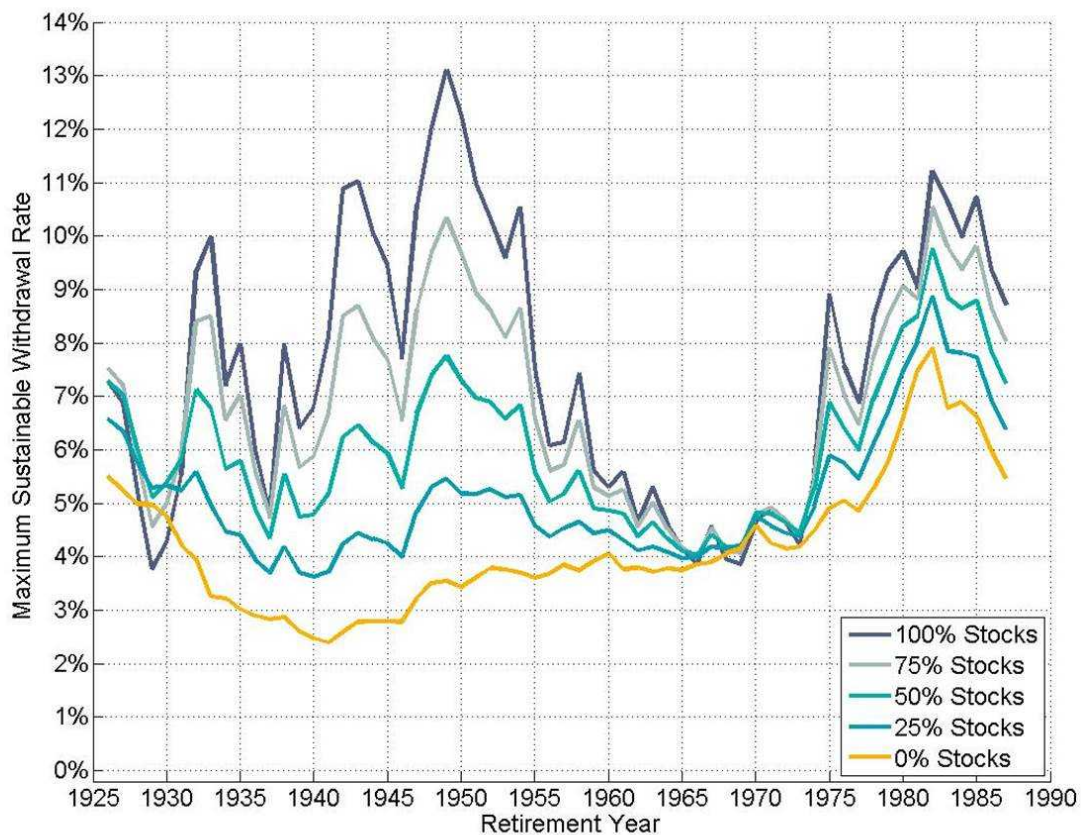




This point can be seen more clearly in Exhibit 4.3, which shows the SAFEMAX across the range of stock allocations. Low stock allocations resulted in lower SAFEMAXs, with an all-bonds portfolio falling below 2.5 percent. But there is a sweet spot between about 35 percent stocks and 80 percent stocks where higher stock allocations have no discernable impact on the SAFEMAX. A 4 percent withdrawal rate tended to work no matter what stock allocation was chosen in this range. On the downside, retirees would have been just as well-off with 80 percent stocks as with 35 percent stocks.

Exhibit 4.3

Connection between SAFEMAX and Stock Allocation

30-Year Retirement, Inflation Adjustments

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds